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Superior Court of California,
County of Los Angeles
6/03/2024 2:11 PM
David W. Slayton,
Executive Officer/Clerk of Court,
By V. Jimenez, Deputy Clerk

Attorneys for Plaintiff

SUPERIOR COURT OF CALIFORNIA, COUNTY OF LOS ANGELES
NORWALK COURTHOUSE – LIMITED CIVIL

STUDENT LOAN SOLUTIONS, LLC

Plaintiff,

vs.

DALTON C GAUDIN aka DALTON CALEB
GAUDIN and DOES 1 through 30 Inclusive,

Defendant,

) Case No. 24CHLC00778

)
) **PLAINTIFF'S REQUEST FOR JUDICIAL**
) **NOTICE IN SUPPORT OF PLAINTIFF**
) **STUDENT LOAN SOLUTIONS, LLC**
) **OPPOSITION TO DEFENDANT'S**
) **DEMURRER TO PLAINTIFF'S**
) **COMPLAINT**

) Date: June 18, 2024

) Time: 8:30 a.m.

) Dept: F41
)
)
)

**TO THE CLERK OF THE ABOVE-ENTITLED COURT AND TO PLAINTIFF JESUS
FONSECA AND TO HIS ATTORNEYS OF RECORD:**

Plaintiff Student Loan Solutions, LLC (hereinafter referred to as 'Plaintiff') hereby
submit hereby submit this Request for Judicial Notice in support of its Plaintiff opposition to
defendant's demurrer to plaintiff's complaint.

Under California law, courts must take judicial notice of "decisional, constitutional,
and statutory law of any state of the United States and the resolutions and private acts of the
Congress of the United States and of the Legislature of this state," "[o]fficial acts of the legislative,

PLAINTIFF'S REQUEST FOR JUDICIAL NOTICE

1 executive, and judicial departments of the United States and of any state of the United States,” and
2 “[r]ecords of ... any court of this state.” (Cal. Evid. Code §§ 452(a),(c),(d), 453.) Courts must
3 also take judicial notice of “[f]acts and propositions that are not reasonably subject to dispute and
4 are capable of immediate and accurate determination by resort to resources of reasonably
5 indisputable accuracy.” (Cal. Evid. Code §§ 452(h), 453.)

6 Accordingly, Plaintiff respectfully requests that the Court take judicial notice of Exhibit 1,
7 which is attached as follows:

- 8 1. **Exhibit 1:** Honorable Ronda McKaig May 20, 2024 order in STUDENT LOAN
9 SOLUTIONS LLC vs KIRA A SITTON, et al. Case No. 2024CLCL020820

10
11 DATE: June 3, 2024

GOLDSMITH & HULL A.P.C.

12 By: 

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14 Stephen R. Goldsmith
15 Attorney for Plaintiff
16 Student Loan Solutions, LLC
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PROOF OF SERVICE

STATE OF CALIFORNIA, COUNTY OF LOS ANGELES

I am employed in the county of Los Angeles, State of California. I am over the age of 18 and not a party to this action; my business address is 16933 Parthenia Street, Suite 110, Northridge, California 91343.

On the date set forth below I served the foregoing document described as **PLAINTIFF'S REQUEST FOR JUDICIAL NOTICE IN SUPPORT OF PLAINTIFF STUDENT LOAN SOLUTIONS, LLC OPPOSITION TO DEFENDANT'S DEMURRER TO PLAINTIFF'S COMPLAINT.**

on the interested parties in this action by placing ☐ duplicate original(s) ☐ true copy(ies) thereof enclosed in a sealed envelope addressed, ☒ personally delivered the true copy(ies) thereof enclosed in a sealed envelope addressed as follows:

Daniel Sparky Abraham
300 E Esplanade Dr. Ste 900
Oxnard, CA 93036
sparky@jubilee.legal

☒ BY MAIL. ☒ BY Electronic-Mail ☒ I deposited such envelope, postage thereon fully prepaid, in the United States mail at Northridge, California

☐ As follows: I am "readily familiar with the firm's practice of collection and processing correspondence for mailing. Under that practice it would be deposited with the U.S. Postal Service on that same day with postage thereon fully prepaid at Northridge, California in the ordinary course of business. I am aware that on motion of the party served, service is presumed invalid if postal cancellation date or postage meter date is more than one day after the date of deposit for mailing an affidavit.

☐ BY PERSONAL SERVICE. I delivered such envelope(s) by and to the office of the addressee(s)

☒ STATE. I declare under penalty of perjury, under the laws of the State of California, the foregoing is true and correct and whose direction this service was made June 3, 2023 at Northridge, California


B. Alvarado

EXHIBIT “1”

SUPERIOR COURT OF CALIFORNIA, COUNTY OF VENTURA

Superior Court of California, County of Ventura, Hall of Justice, Department 41

2024CLCL020820

STUDENT LOAN SOLUTIONS LLC vs KIRA A SITTON, et al.

May 20, 2024

8:20 AM

Judge: Honorable Ronda McKaig
Judicial Assistant: Kim Goodman
CSR: None

APPEARANCES:

Daniel David Abraham, counsel, present for Defendant(s).

NATURE OF PROCEEDINGS: Demurrer of Kira A Sitton to The Complaint of Student Loan Solutions LLC

FTR recording 8:36 AM

Appearances are as noted above. There are no appearance(s) by the Plaintiff.

Counsel have received and read the Court's written tentative ruling.

Matter submitted to the Court without argument.

The Court finds/orders:

Upon consideration of the oral argument and further review of all documents, the Court now rules in accordance with its tentative ruling modified as follows:

Defendant Kira A. Sitton's Demurrer to Plaintiff Student Loan Solutions LLC's is **OVERRULED**.

Pursuant to the continuous accrual doctrine, the Complaint is not barred by the statute of limitations as to any monthly payments that came due within four years of the filing of the Complaint. (*Piedmont Capital Management, L.L.C. v. McElfish* (2023) 94 Cal.App.5th 961.)

The Court rejects Defendant's argument that the Complaint establishes Plaintiff waived its right to accelerate payments under the loan.

Defendant shall file an Answer only to the Complaint by no later than June 21, 2024.

Moving party to give notice.

Background: This is a limited civil collections action brought by Student Loan Solutions, LLC (“Plaintiff”) to collect on a private student loan taken out on October 24, 2007, with Bank of America, N.A. (“BOA”) by Defendant Kira A. Sitton (“Sitton”) and Defendant Scott C. Sitton (“Mr. Sitton”). On October 31, 2017, BOA sold and transferred the debt to Plaintiff. The last installment payment made by Defendants on the loan was on January 27, 2010 in the amount of \$18.94. BOA charged off the loan account on February 22, 2011. The amount owed by Defendants as of that date was \$28,027.38. Plaintiff is seeking to recover \$10,632.98 against Defendants, which Plaintiff represents as purportedly constituting of the amount due as of the first defaulted installment within the statute of limitations, which occurred on February 20, 2020.

Discussion:

1. *Analysis*

Defendant argues that Plaintiff’s sole cause of action for breach of contract is barred by the statute of limitations. “‘The defense of statute of limitations may be asserted by general demurrer if the complaint shows on its face that the statute bars the action.’ [Citations.] There is an important qualification, however: ‘In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action *may* be barred.’ [Citations.]” (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315-1316, emphasis added.) In evaluating whether a claim is time-barred, the court must determine (1) which statute of limitations applies and (2) when the claim accrued. (*Id.* at p. 1316.)

“For breach of a written contract, that period is four years from the time the claim accrues. ([Code Civ. Proc.], § 337.) Traditionally, a claim accrues “‘when [it] is complete with all of its elements’ – those elements being wrongdoing [or breach], harm, and causation.” [Citations.]” (*Gilkyson v. Disney Enterprises, Inc.* (2016) 244 Cal.App.4th 1336, 1341.)

Defendant argues that Plaintiff’s breach-of-contract claim accrued on January 27, 2010, as this was the due date of the last payment missed by Defendant under the terms of the subject loan, and Defendant allegedly never made any further payments thereafter. (Compl., 11.) Defendant argues that Plaintiff was required to commence this action by no later than January 27, 2014, which it did not do. Instead, Plaintiff filed this action over 14 years later on February 13, 2024.

1. *Continuous accrual doctrine*

In opposition, Plaintiff argues that the continuous accrual doctrine applies. “Under the continuous accrual doctrine, each breach of a recurring obligation is independently actionable. [Citation.] A cause of action accrues upon each new breach of such an obligation, and thus triggers a new limitations period. [Citation.] The continuous accrual doctrine has been applied where performance of contractual obligations is divisible into intervals. [Citation.] Where divisible, a cause of action for breach of performance as to any particular interval must be brought within the period of limitations after that particular performance was due. [Citation.]” (*Eloquence Corporation v. Home Consignment Center* (2020) 49 Cal.App.5th 655, 662.)

“‘[U]nder the theory of continuous accrual, a series of wrongs or injuries may be viewed as each triggering its own limitations period, such that a suit for relief may be partially time-barred as to older events but timely as to those within the applicable limitations period.’ [Citation.] A

plaintiff may allege a single cause of action covering the entire series of actionable wrongs: ‘[N]othing in the theory of continuous accrual requires every severable act to be pleaded as a distinct cause of action[.]’ [Citation.]” (*Orange County Water Dist. v. Sabic Innovative Plastics US, LLC* (2017) 14 Cal.App.5th 343, 395.)

The continuous accrual doctrine applies to any contract where performance is severed into intervals, such as installment contracts, leases with periodic rental payments, and periodic pension payments. (*Armstrong Petroleum Corp. v. Tri-Valley Oil & Gas Co.* (2004) 116 Cal.App.4th 1375, 1388.) The continuous accrual doctrine does not apply when only the harm continues. “The context of continuing—that is, periodic—breach is to be distinguished from that of a single breach or other wrong which has a continuing impact.” (*Id.* at p. 1389.) When there is no new wrongdoing, and the only thing that continues is the injury caused by the original wrong, the continuing accrual doctrine does not apply. Instead, “[t]he time bar starts running when the plaintiff first learns of actionable injury [citation], even if the injury will linger or compound.” (*Vaca v. Wachovia* (2011) 198 Cal.App.4th 737, 745 [holding continuing injuries from previous fraud do not restart limitations period]; see, e.g., *NBCUniversal Media, LLC v. Sup. Ct.* (2014) 225 Cal.App.4th 1222, 1237, fn. 10 [holding the continuous accrual doctrine inapplicable to new broadcasts of a reality television series because the broadcast of new episodes was “not a new breach, but rather additional harm” from the original improper exploitation of the plaintiff’s idea].) Periodic payments, however, are not determinative as to whether a contract is an installment contract or when the statute of limitations for failure to make a payment begins to run. (*Jozovich v. Central California Berry Growers Assn.* (1960) 183 Cal.App.2d 216, 223-224.)

2. *Piedmont*

The Court finds *Piedmont Capital Management, L.L.C. v. McElfish* (2023) 94 Cal.App.5th 961 instructive in resolving whether the obligation to make monthly payments in the instant contract is divisible from the obligation to repay the full loan amount.

In *Piedmont*, a defendant took out a home equity line of credit (HELOC) which was secured by an equity reserve agreement and a deed of trust against his real property located in Los Angeles in June 2006. (*Piedmont, supra*, 94 Cal.App.5th 965.) The equity reserve agreement contained the following provisions: (1) defendant could take “cash advances” against the credit line during a “draw period” of 10 years; (2) defendant then had 20 years—until June 27, 2036—to repay the amount drawn, plus interest; (3) defendant was required to make monthly payments toward repaying the outstanding balance; and (4) the lending bank could “require” Defendant to pay the entire outstanding balance in one payment” if he “breach[ed] a material obligation,” which was defined to include “not meet[ing] the repayment terms.” (*Ibid.*) The deed of trust contained similar provisions, including that the lending bank had the option to “accelerate” the debt and demand payment of “all or any part” of the outstanding debt upon the occurrence of a default by Defendant’s failing to make a payment when due. The bank further reserved the right to delay exercising any of its rights under the agreement without losing those rights. (*Ibid.*) The Defendant’s real property was foreclosed on in 2012 and the sale did not net any surplus funds to pay off the HELOC debt. (*Ibid.*) In October 2019, Piedmont Capital, the plaintiff, purchased the debt and sent the defendant a notice of acceleration and demanded payment of the HELOC debt in the full amount of \$147,569.80, which the defendant failed to do. (*Id.* at p. 966.) In April 2020, the plaintiff sued the defendant for breach of contract. (*Ibid.*) The defendant demurred to the complaint on the grounds that the lawsuit was barred by the four-year statute of limitations,

arguing that the limitations period was triggered when he first missed a payment in 2011 and not when Plaintiff exercised the acceleration clause in October 2019. (*Ibid.*) The trial court sustained the demurrer finding that the HELOC agreement was “not an installment contract” and so the limitations period ran “from the date of the last payment in 2011.” (*Ibid.*) The plaintiff appealed.

In the published portion of its opinion, the Second District Court of Appeal posed the following questions: “[W]hat if the contract obligates a party to the contract to perform its duties on several separate occasions? Does the failure to perform on one occasion constitute a breach of the whole contract? If so, the statute of limitations for a claim for breach of a portion and the whole contract would begin to run upon the first breach. [Citation.] Or does each failure to perform on a particular occasion give rise to a separate breach of contract? If so, each breach would trigger its own statute of limitations, and a plaintiff could sue for any breaches falling within the limitations period.” (*Piedmont, supra*, 94 Cal.App.5th at p. 968.) The court answered these questions as follows: “The answer turns on whether the various contractual duties are *divisible*.” (*Ibid.*, emphasis in original.) The court went on to explain: “Because the very existence of a contract is the product of the contracting parties’ mutual intent [Citation], the subsidiary question of whether contractual duties are divisible—and hence constitute separate breaches each triggering a separate statute of limitations periods—is also a function of the “‘objective manifestations of the parties’ [mutual] intent.’” [Citations.] In ascertaining this intent, courts are to examine (1) the plain text of the contract; and, to the extent it exists, (2) “‘extrinsic evidence of such objective matters,’” such as (a) “‘the surrounding circumstances under which the parties negotiated or entered into the contract,’” (b) the “‘nature and subject matter of the contract,’” and (c) “‘the subsequent conduct of the parties.’” [Citations.]” (*Id.* at p. 969.)

The court noted that “[i]t is undisputed that the HELOC agreement in this case obligated [defendant] to make monthly payments, and thus to perform his contractual duties on several occasions.” (*Piedmont, supra*, 94 Cal.App.5th at p. 969.) The court determined that the defendant’s duty to make those monthly payments was divisible from his duty to pay the full amount of the loan. This is because “the plain terms of the HELOC agreement obligated [defendant] to pay the full, outstanding balance on the line of credit in 2036 while simultaneously granting the lender—now, Piedmont [the plaintiff]—the choice whether to accelerate that maturity date when [defendant] missed a monthly payment or at ‘anytime thereafter.’ By granting the lender that choice, and by explicitly reserving the lender’s ability to “delay exercising” this right ‘without losing [it],’ the HELOC agreement necessarily contemplates that a breach of [defendant’s] duty to make monthly payments was divisible from his duty to pay the full amount.” (*Id.* at pp. 969-970.) The court concluded that “[b]ecause the statute of limitations period for a breach of contract claim is four years (Code Civ. Proc., § 337), this means that Piedmont’s 2020 lawsuit is timely as to all missed monthly payments within the four years preceding its filing as well as timely as to all future payments because Piedmont accelerated those payments within that four-year ‘look back’ period.” (*Id.* at p. 970.)

The appellate court held that “in this case, the parties have—by their express designation of a maturity date and use of a clause that grants the lender discretion over whether to accelerate that maturity date—explicitly evinced a mutual intent to make the duty to pay the whole amount distinct from (and hence divisible from) the duty to make a single payment. (*Id.* at p. 972.) In conclusion, the court reversed the judgment of dismissal in favor of the plaintiff. (*Id.* at p. 973.)

3. Application

Here, the Note Disclosure Statement, which sets forth the payment terms of the subject loan, is attached to the Complaint as Exhibit B. The Note states that Defendant's payment schedule would consist of 240 payments in the amount of \$310.88 (subject to a variable rate of interest) to be made on the 20th day of each month beginning in December 2009. (*Ibid.*) Further, the Promissory Note attached to the Complaint as Exhibit A contains an acceleration clause, which states: "To the extent permitted by applicable law, I [the borrower] will be in default and you have [the lender] the right to give me notice that the whole outstanding principal balance, accrued interest, and all other amounts payable to you under the terms of this Credit Agreement, are due and payable at once (subject to any applicable law which may give me a right to cure my default) if: (1) I fail to make *any monthly payment* to you when due, (2) I die, (3) I break any of my other promises in this Credit Agreement, (4) any bankruptcy proceeding is begun by or against me, or I assign any of my assets for the benefit of my creditors, or (5) I make any false written statement in applying for this loan or any other loan or at any time during the Deferment or Repayment Periods. If I default, I will be required to pay interest on this loan accruing after default." (*Id.* at p. 4, ¶ L, emphasis added.)

Like in *Piedmont*, the loan agreement in this case, in addition to obligating Defendant to pay the full loan amount, grants the lender the choice of whether to accelerate the maturity date in the event Defendant defaults on *any* monthly payment (among other triggering events), and does not limit this option to the first instance of default but makes clear the option is available at the lender's discretion and in connection with any missed payment. These facts are sufficient to plead that the parties' agreement contained divisible duties to which different statutes of limitations apply. Like in *Piedmont*, because the subject agreement requires monthly payments in addition to leaving to Plaintiff's discretion whether to accelerate the full repayment of the loan balance in the event of any failed payment, Plaintiff has adequately pled at this stage that the claim is not necessarily barred by the statute of limitations. The Court sees no reason why the rationale in *Piedmont* would not apply to this case, despite the fact that the instant loan is unsecured.

While some earlier payments are indeed barred by the statute of limitations, a "demurrer does not lie as to a portion of a cause of action and if any part of a cause of action is properly pleaded, the demurrer will be overruled." (*Fire Ins. Exchange v. Sup. Ct.* (2004) 116 Cal.App.4th 446, 452.) The Demurrer is overruled insofar as it is based on the statute of limitations.

4. Waiver

Defendant also argues that the Complaint demonstrates Plaintiff has waived any right to accelerate payments. Defendant points out that the Complaint alleges that while the default occurred on January 27, 2010 (Compl., 11), Plaintiff did not exercise its option to accelerate until December 28, 2022 (*id.* at ¶ 24)—almost 13 years later.

An acceleration clause in a note must be exercised within a reasonable time, or it is waived. (*Fletcher v. Dennison* (1894) 101 Cal. 292, 294 [59-day delay is reasonable]; *Tourny v. Bryan* (1924) 66 Cal.App. 426, 430 [52-day delay is reasonable]; *Holland v. Paddock* (1956) 142 Cal.App.2d 534, 538 [suggesting 11 months unreasonable].)

Waiver rests upon intent and requires "clear and convincing evidence that does not leave the

matter to speculation, and doubtful cases will be decided against a waiver.” (*Kacha v. Allstate Ins. Co.* (2006) 140 Cal.App.4th 1023, 1034.) Waiver is not properly decided at the demurrer stage. “‘The question of waiver is a question of fact, and when supported by sufficient evidence to justify the inference of waiver is binding upon this court.’ [Citations.]” (*Kay v. Kay* (1961) 188 Cal.App.2d 214, 218.) “Questions of fact generally require the consideration and weighing of evidence, which makes them unsuitable for resolution on demurrer.” (*M.F. v. Pacific Pearl Hotel Management LLC* (2017) 16 Cal.App.5th 693, 703.)

The Court overrules the demurrer based on Defendant’s waiver argument.